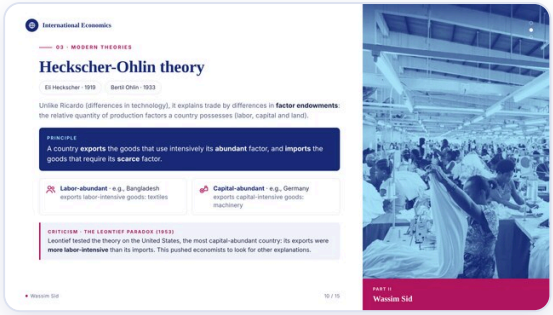
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Heckscher-Ohlin theory

≈ 1 min 15



Thank you, Norhane.

Ricardo says countries trade because they have different technology. But “why are countries different in the first place?”

Two Swedish economists gave an answer: **Eli Heckscher** in 1919, and **Bertil Ohlin** in 1933.

Their idea is about **factor endowments**. This simply means what a country has: workers, money and machines, which we call capital, and land.

Some countries have many workers. Others have a lot of capital. Others have a lot of land.

The rule is simple: a country **sells** what it can make with what it has a lot of. And it **buys** what needs what it lacks.

Two examples. **Bangladesh** has many workers, so it exports textiles. **Germany** has a lot of capital, so it exports machines.

But in **1953**, Wassily Leontief tested this idea on the United States. The US has more capital than any other country, so it should export capital-intensive goods. But he found the opposite: US exports needed more workers than its imports.

This is called the **Leontief paradox**. It showed that the theory was not enough, so economists looked for new answers.

NEXT ▸ SLIDE 11 **New Trade Theory**

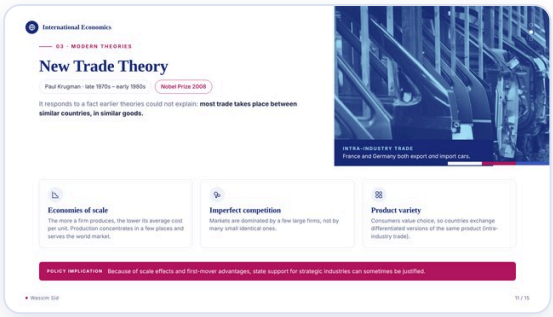
“One new answer came from Paul Krugman, in the late 1970s and early...”

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New Trade Theory

≈ 1 min 15



> One new answer came from **Paul Krugman**, in the late 1970s and early 1980s. He won the **Nobel Prize** in Economics in 2008 for this work.

> Krugman noticed something strange: most trade happens **between similar countries, selling similar products**. For example, France sells cars to Germany, and Germany sells cars to France. The old theories cannot explain this.

> Krugman explains it with three ideas.

> 1 **Economies of scale.** The more a company produces, the cheaper each product becomes. So production is done in a few places and sold to the whole world.

> 2 **Imperfect competition.** In real life, a few big companies control most markets.

> 3 **Product variety.** People like to have choice. So countries buy and sell different versions of the same product. This is called intra-industry trade.

> What does this mean for governments? Sometimes, it can make sense for the state to **support important industries**.

NEXT ▸ SLIDE 12 **Inequalities between countries**

"All these theories say that trade is good for everyone. But in..."

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Inequalities between countries

≈ 1 min



All these theories say that trade is good for everyone. But in reality, **not everyone gains the same**.

1 Many poor countries sell **raw materials**, and their prices go up and down a lot. **Algeria** is a good example with oil and gas. Rich countries, on the other hand, sell expensive manufactured goods.

2 This makes poor countries **dependent and fragile**. When oil prices fell in 2014, oil-exporting countries suffered a lot.

3 Even inside one country, there are **winners and losers**. Consumers and exporters usually win. But some workers lose their jobs because of cheaper imports.

4 This is why people still debate **free trade versus protectionism**.

NEXT ▸ SLIDE 13 **Global value chains & multinationals**
"Today, there is another reality the old theories don't fully..."

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Global value chains & multinationals

≈ 1 min 15



> Today, there is another reality the old theories don't fully explain: **global value chains**.

> This means one product is made in many countries, step by step: design, parts, assembly, marketing and services. Remember the **smartphone** from our introduction: designed in California, assembled in China, with a chip from Taiwan.

> So today, countries don't only trade finished products. **They trade steps of production.**

> These chains are organized by **multinational companies**, which work in many countries. They invest abroad and bring money, technology and know-how.

> \+ **The good side:** lower costs, new technology and new jobs in the host countries.

> − **The bad side:** countries depend on a few suppliers. One problem can block everything, like the supply chain crisis of **2020 and 2021**. And the most profitable steps, like design and branding, stay mostly in rich countries.

> So the old theories, made for trade in finished goods, only explain part of this reality.

NEXT ▸ SLIDE 14 **Conclusion**

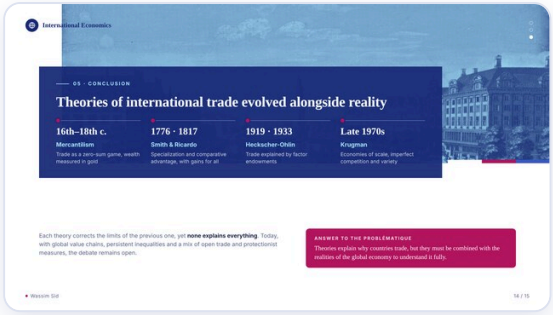
"To conclude, trade theories changed as the world changed."

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Conclusion

≈ 1 min



> To conclude, trade theories changed as the world changed.

Mercantilism	trade is a zero-sum game, and wealth is gold.
Smith & Ricardo	countries should specialize, and everyone can gain.
Heckscher & Ohlin	countries trade based on what they have.
Krugman	economies of scale, big companies and product variety.

> Each theory fixes the weaknesses of the one before. But **no theory explains everything**. Today, with global value chains, inequalities and protectionism, the debate is still open.

> So, our answer to the problématique: theories explain **why countries trade**, but we must also look at **the real world economy** to fully understand it.

NEXT ▸ SLIDE 15 **Thank you**

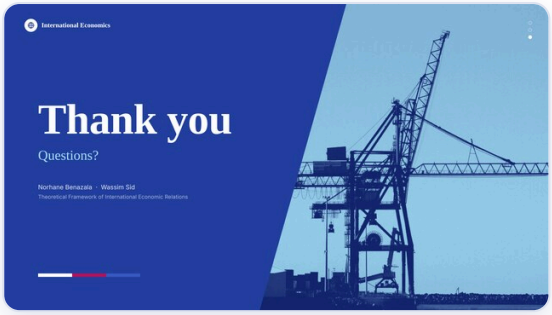
"Thank you for your attention."

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Thank you

≈ 10 s



> Thank you for your attention.

> Norhane and I are happy to answer your questions.

END Questions — answer together with Norhane